SUMMARY · MK 3 MARKETING MANAGEMENT · WEEK 5

# Marketing Research & Customer Insight

Good marketing decisions need good insight. This week covers customer/market insight, the marketing information ecosystem, competitive intelligence, and the six-step research process: problem definition, approach, research design, data collection (incl. sampling), analysis and reporting.

## Material

### 1 Customer insight and market insight

**Insight** combines data types into an actionable understanding of behaviour, needs, motivations and trends. Customer insight: behavioural, attitudinal, demographic, psychographic, feedback, online data. Market insight: trends, competition, segments, regulation, economics, technology, culture, supply chains, entry barriers.

A marketing information ecosystem starts by assessing needs, then builds a collect–analyze–act–feedback loop from internal and external sources. Competitive intelligence (observation, employee input, benchmarking, online and social monitoring) gives early warning but raises ethical limits.

### 2 The six-step marketing research process

Research = systematic design, collection, analysis and reporting for a specific situation. Steps: (1) define the problem — separate the management decision problem from the research problem; (2) approach — theory, models, research questions, hypotheses; (3) design — exploratory (qualitative) vs conclusive descriptive (surveys, observation; cross-sectional or longitudinal) or causal (experiments; internal/external validity; control extraneous variables); (4) fieldwork; (5) analysis; (6) reporting.

## 3 Three research designs and when to use them Deep dive

**Exploratory**
Understand the problem: interviews, FGDs, observation.

**Descriptive**
Measure who and how much: surveys.

**Causal**
Prove cause and effect: experiments, test markets.

## 4 Primary vs secondary, qualitative vs quantitative

Secondary data (collected for other purposes) is cheap and fast but may be irrelevant, inaccurate or outdated — check it first. Primary data is specific but costly. Qualitative = small, exploratory, "why"; quantitative = large, statistical, "how many". Instruments: questionnaires (closed/open) and mechanical tools (people meters, scanners, neuromarketing).

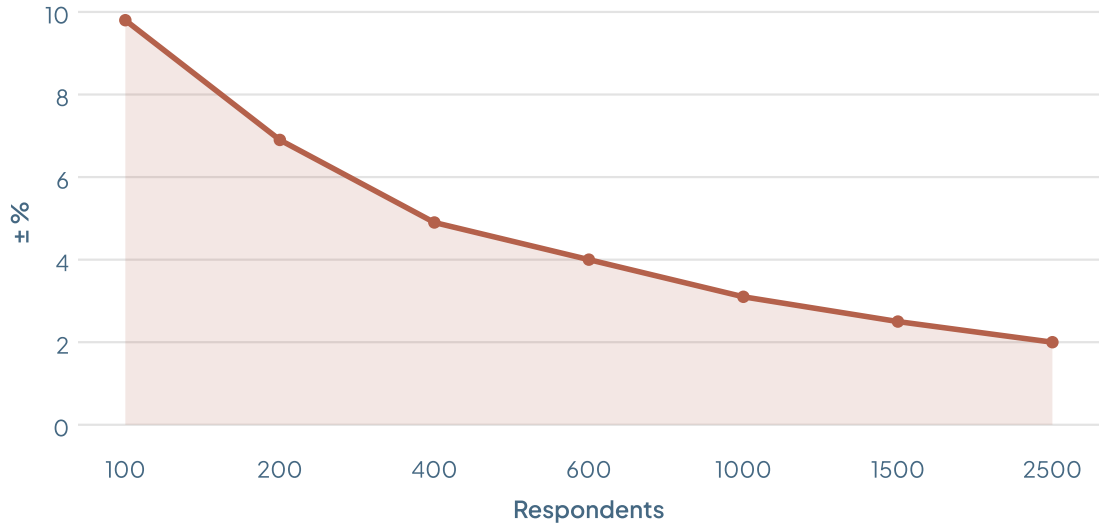
## 5 Sampling and data analysis

Population, census, sample; design: target population → elements → sampling unit → technique → size. Probability (simple random, stratified, cluster) vs non-probability (convenience, judgment, quota). Typical sizes: market potential 1,000–2,500; pricing/product/test-market 300–500; ad tests 200–300; focus groups 6–15. Prepare data, then analyze: descriptive, inferential, exploratory, predictive, prescriptive, multivariate (see MK6).

## 6 How many respondents? Margin of error charted Deep dive

$$\text{MoE}\ (95\%,\ p = 50\%) \approx 1.96 \times \sqrt{(0.25 \div n)}$$

**Margin of error vs sample size (95%)**




Diminishing returns: 100 → 400 halves the error; 1,000 → 2,500 only trims it.

! **Bigger samples don't fix bad design.**

## Key takeaways

1. Insight = the actionable "why" behind data.
2. Information ecosystem = collect–analyze–act–feedback loop.
3. Competitive intelligence is useful but must be ethical.
4. Separate the management decision problem from the research problem.
5. Designs: exploratory, descriptive, causal.
6. Check secondary data first; primary data is specific but costly.
7. Probability vs non-probability sampling; descriptive to prescriptive analysis.

## Case studies

Case & worked answers

### Application: designing research for the Unilever Indonesia decision (Case 2)

Using Case 2: decision problem "launch a value sub-brand?" → research problem "which attributes and per-wash price make Tier 2/3 homemakers switch from Daia, and how much would come from Rinso/Surf?" Hypotheses on fragrance vs discount and willingness to pay for a Unilever-backed brand. Design: exploratory field interviews (like Brazil's Everyman) → descriptive survey → causal test markets with controls. Secondary data first (BPS, internal sales, QRIS/warung data). Cluster + stratified sampling (~1,000–2,500 respondents; 10–20 warungs per region). Analyze with descriptives, tests, regression/conjoint and a cannibalization simulation. Start from the decision, not from interesting data.

## Worked examples

Problem 1 · Easy · **Margin of error**

Survei 400 responden, proporsi yang menjawab "ya" belum diketahui (pakai p = 0,5). Berapa margin of error pada tingkat keyakinan 95%?

1. `MoE = z × √[p(1 - p) ÷ n] = 1,96 × √(0,25 ÷ 400)`
2. √(0,000625) = 0,025.
3. MoE = 1,96 × 0,025 = 0,049 = 4,9%.

**Answer:** ± 4,9 poin persentase.

Problem 2 Medium **Berapa responden yang dibutuhkan?**

Manajer ingin margin of error ±3% (95%). Berapa responden minimal?

1. $n = z^2 \times p(1 - p) \div MoE^2 = 1{,}96^2 \times 0{,}25 \div 0{,}03^2$
2. = 3,8416 × 0,25 ÷ 0,0009 = 1.067,1.
3. Selalu bulatkan ke atas → 1.068. Perhatikan: memperkecil MoE dari 4,9% ke 3% butuh hampir 3× responden.

**Answer:** ± 1.068 responden.

## Practice questions

Try answering first. The answer key is below each question.

**1. Proving that a new sachet price lifts sales needs a… design**

A. Exploratory
B. Descriptive
C. Causal (controlled test market)
D. Secondary only

**Answer: C.** Causality needs experiments.

**2. Going from 400 to 1,600 respondents makes the MoE…**

A. Quarter
B. Half
C. Same
D. Higher

**Answer: B.** Error ∝ 1/√n.

**3. Randomly choosing districts then surveying within them is…**

A. Simple random
B. Stratified
C. Cluster
D. Convenience

**Answer: C.** Cluster.

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**4. The first step of the research process is…**

A. Collect data
B. Define the problem and objectives
C. Analyse
D. Report

**Answer: B.** Wrong problem = wasted research.

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**5. A good customer insight is…**

A. Raw sales data
B. A fresh, actionable understanding of motivation
C. A manager's opinion
D. Sample size

**Answer: B.** It explains why and changes decisions.

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### Sources

- -P3MD- Week 5–MK3.pdf
- Kotler & Armstrong bab 4